AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

APRIL/ MAY 2018

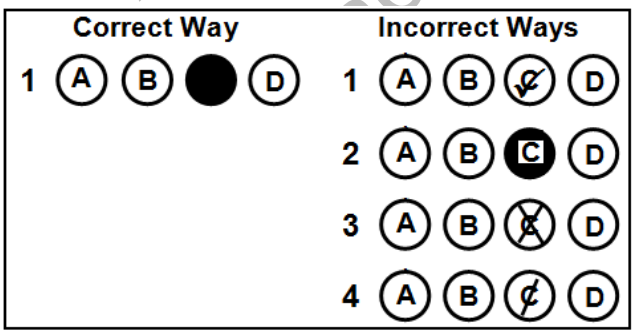
Principles of Accounting Paper I

Time: 35 minutes Marks: 25

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. The following details have been taken from the books of Rauf Builders and Developers as on December 31, 2017.

S. No.	Particulars	Amount (Rs)
1	Trade receivables (accounts receivable)	127,000
2	Trade payables (accounts payable)	613,000
3	Building	790,000
4	Machinery	470,000
5	Bank overdraft	50,000
6	Inventory	55,000

The amount of capital invested according to the given data is

A. Rs 779,000
B. Rs 879,000
C. Rs 1,442,000
D. Rs 2,105,000

2. Which of the following CORRECTLY depicts the rules of debit and credit?

	Account Head	Debit	Credit
A	Revenue	Increase	Decrease
B	Liabilities	Increase	Decrease
C	Expenses	Decrease	Increase
D	Assets	Increase	Decrease

3. In double entry accounting system, the term 'credit' indicates that the business is

A. receiving loans.
B. receiving benefits.
C. exceeding its assets.
D. exceeding its liability limits.

4. On May 01, 2016 business paid an advance rent of Rs 10,500 for three months.

If the accounting year of the business ends on June 30, 2016, then the amount of advance rent for July will be shown in the statement of financial position (balance sheet) under

A. current asset.
B. non-current asset (fixed asset).
C. current liability.
D. non-current liability.

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5. The following are the ledger balances extracted from the books of Shams and Sons.

Particulars	Amount (Rs)
Sales revenue	250,000
Purchases	120,000
Building	75,000
Bank overdraft	15,000
Inventory	25,000
Trade receivables (accounts receivable)	80,000
Capital	35,000

The amount with which the trial balance would agree will be

A. Rs 285,000
B. Rs 300,000
C. Rs 315,000
D. Rs 600,000

6. In general ledger, sales returns and purchases returns are classified as

	Sales Returns	Purchases Returns
A	Contra asset	Contra liabilities
B	Contra revenue	Contra expense
C	Contra expense	Contra revenue
D	Contra liabilities	Contra asset

7. The following details have been extracted from the books of Data Traders as on March 31, 2018.

Particulars	Amount (Rs)
Sales revenue	420,000
Purchases	280,000
Opening inventory	30,000
Ending inventory	24,000

The amount of cost of sales (cost of goods sold) will be

A. Rs 134,000
B. Rs 274,000
C. Rs 286,000
D. Rs 310,000

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8. Rafay maintains an annual allowance (provision) for doubtful (bad) debts at the rate of 5% on trade receivables (accounts receivable). The accounting principle followed by Rafay to maintain allowance (provision) for doubtful (bad) debts is known as

A. accruals.
B. materiality.
C. going concern.
D. business entity.

9. The following balance has been provided by the owner of Hamza General Store.

S. No.	Particulars	Amount (Rs)
1	Cash	62,000
2	Capital	105,000
3	Trade receivables (accounts receivable)	31,000
4	Trade payables (accounts payable)	23,000
5	Machinery	55,000
6	Loan from family	65,000
7	Inventory	45,000

The agreeing amount of trial balance is

A. Rs 88,000
B. Rs 138,000
C. Rs 193,000
D. Rs 386,000

10. The bank account of a small boutique is given below.

Bank Account					
Date	**Particulars**	**Folio**	**Debit**	**Credit**	**Balance**
Jan 1, 2018	Balance		15,000		15,000
Jan 3, 2018	Rent			7,000	?
Jan 5, 2018	Sales		22,000		?
Jan 7, 2018	ABC Supplier			13,000	?

The balance that will appear in the bank account on January 7, 2018 will be

A. Rs 13,000
B. Rs 17,000
C. Rs 20,000
D. Rs 37,000

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11. The following information relates to a business for the year ended on June 30, 2017.

Particulars	Amount (Rs)
Sales revenue	150,000
Cost of sales	90,000
Operating expenses	30,000

The business had a closing inventory of Rs 15,000 as on June 30, 2017.

The amount of net profit of the business for the year ended June 30, 2017 will be

A. Rs 30,000
B. Rs 60,000
C. Rs 120,000
D. Rs 240,000

12. Assets and liabilities will both increase because of

A. drawing by owner.
B. payment to suppliers.
C. purchase of car on credit.
D. purchase of furniture on cash.

13. Mr Waqar returned goods worth Rs 7,500 to Mr Danish as the goods were not according to the order.

The document that will be issued by Mr Waqar to initiate the process of return is known as

A. invoice.
B. voucher.
C. debit note.
D. credit note.

14. Which of the following expenses is NOT classified as petty cash expense?

A. Insurance
B. Entertainment
C. Carriage inwards
D. Postage and courier

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15. The given balances have been extracted from the books of Vareesha Enterprises after the first month of its business operations.

Particulars	Amount (Rs)
Credit purchases	140,000
Discount received	5,400
Cash paid to suppliers	76,600
Return outwards	1,000

The amount of purchases ledger control account that will be carried down to the next month is

A. Nil
B. Rs 57,000
C. Rs 83,000
D. Rs 140,000

16. An accountant of Jadeed Traders has prepared the following sales ledger control account.

Sales Ledger Control Account

Particular	Amount	Particular	Amount
Balance b/f	5,000	Cash received	6,800
Credit sales	43,000	Cheques received	23,200
Bad debt expense	4,000	Discount allowed	430
Bank: dishonoured cheque	3,100	Sales return	2,800
		Balance c/f	21,870
	55,100		55,100

Which of the following has been INCORRECTLY posted in the given account?

A. Sales return
B. Discount allowed
C. Bad debt expense
D. Bank: dishonoured cheque

17. A document sent to a customer upon the credit sales of merchandise is known as a/ an

A. invoice.
B. debit note.
C. credit note.
D. statement of account.

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18.

Purchase Journal				
Date	**Invoice**	**Supplier Account**	**Post Reference**	**Trade payables Purchases**
Mar 01, 16	0050015	Rahim Traders	☑	Rs 12,500
Mar 03, 16	0050075	Karim Associates	☑	Rs 57,000
Mar 05, 16	0050093	Amin Brothers	☑	Rs 45,000
Mar 07, 16	0050124	Rahim Traders	☑	Rs 25,000
Mar 09, 16	0050138	Amin Brothers	☑	Rs 12,500
		Total		**Rs 152,000**

The general journal entry to transfer the amount of the given purchase journal will be

	Debit	Credit
A	Purchases Rs 152,000	Trade (accounts) receivables Rs 152,000
B	Trade (accounts) receivables Rs 152,000	Purchases Rs 152,000
C	Trade (accounts) payables Rs 152,000	Purchases Rs 152,000
D	Purchases Rs 152,000	Trade (accounts) payables Rs 152,000

19. Mehwish is the owner of a departmental store in Karachi. She bought twenty washing machines for the purpose of reselling.

Washing machines in the given situation will be treated by Mehwish in her accounting books as

A. current asset.
B. non-current asset (fixed asset).
C. current liability.
D. non-current liability.

20. A business bought a car and a computer for Rs 950,000 and Rs 75,000 respectively on July 01, 2016. The business charges 20% depreciation on these assets using the straight line method (fixed instalment method).

The amount of depreciation that will be charged on the computer for the year ended December 31, 2016 is

A. Rs 7,500
B. Rs 15,000
C. Rs 60,000
D. Rs 67,500

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21. Salim Traders purchased a machine on January 01, 2016 worth Rs 150,000 with scrap value of Rs 10,000. The company uses 20% diminishing balance method for charging depreciation.

    The depreciation for the year ended December 31, 2016 will be

    A. Rs 15,000
    B. Rs 28,000
    C. Rs 30,000
    D. Rs 32,000

22. Allowance (provision) for doubtful (bad) debts is considered as a/ an

    A. asset.
    B. contra asset.
    C. capital.
    D. contra capital.

23. The Imperial Traders have revised the policy of charging allowance (provision) for doubtful (bad) debts from 10% to 12.5%.

    If the statement of financial position (balance sheet) reflects the revised allowance (provision) for doubtful (bad) debts as Rs 4,500, then the total debt will be

    A. Rs 31,500
    B. Rs 36,000
    C. Rs 445,500
    D. Rs 450,000

24. The following balances have been taken from the pre-closing trial balance of Royal Traders as on December 31, 2016.

Particulars	**Amount (Rs)**
Trade receivables (accounts receivable)	125,000
Allowance (provision) for doubtful (bad) debts (1% of trade receivables)	1,250

    On December 31, 2016, the management of Royal Traders decided to revise the rate of allowance (provision) for doubtful (bad) debts from 1% to 5%.

    The amount of doubtful debt that will be expensed out in the income statement for the year 2016 after revision is

    A. Rs 1,250
    B. Rs 5,000
    C. Rs 6,250
    D. Rs 7,500

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25. The following details have been extracted from the books of Jamshed Sons at the end of the year 2015.

Particulars	Amount (Rs)
Machine	700,000
Allowance (provision) for depreciation as on December 31, 2015	105,000

The depreciation expense charged on the machine for the year 2016 is Rs 70,000.

The adjusting entry that will be made in the books of Jamshed Sons on December 31, 2016 is

	Particulars	P.R.	Debit	Credit
A	Depreciation expense		70,000	
	Allowance (provision) for depreciation			70,000
B	Allowance (provision) for depreciation		70,000	
	Depreciation expense			70,000
C	Depreciation expense		175,000	
	Allowance (provision) for depreciation			175,000
D	Allowance (provision) for depreciation		175,000	
	Depreciation expense			175,000

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